

SOLSTICE ROBOTICS, INC.

FORM 10-K

Fiscal Year Ended December 31, 2024

Ticker: SOLR

ITEM 1. BUSINESS

Solstice Robotics, Inc. ("Solstice", "the Company", "we", "us") designs, manufactures, and sells industrial robotic arms and automation systems for manufacturing, logistics, and warehousing customers. Our products are sold in North America, Europe, and Asia-Pacific. As of fiscal year end 2024, the Company employed approximately 4,550 people across six manufacturing facilities.

ITEM 1A. RISK FACTORS

The following risk factors describe the most significant risks to our business, financial condition, and results of operations as of fiscal 2024.

1. Supply Chain and Component Sourcing Risk (Category: Operational, Severity: High)

We rely on a limited number of suppliers for precision actuators and semiconductor components used in our robotic systems. During fiscal 2024, new tariffs imposed by the United States and several trading partners on imported industrial robotics components significantly increased our exposure to supply chain disruption and cost volatility, materially escalating the severity of this risk compared to our fiscal 2023 Annual Report.

2. Customer Concentration Risk (Category: Operational, Severity: Medium)

Our three largest customers accounted for approximately 36% of total revenue in fiscal 2024. The loss of, or a significant reduction in orders from, any of these customers could materially affect our results of operations.

3. Competition from Low-Cost Manufacturers Risk (Category: Competitive, Severity: Medium)

We face increasing competition from manufacturers based in lower-cost regions that may offer automation solutions with comparable functionality at reduced prices, which could pressure our pricing and market share.

4. Foreign Currency Exchange Rate Risk (Category: Financial, Severity: Low)

Approximately 31% of our revenue is denominated in currencies other than the U.S. dollar, primarily the Euro and Japanese Yen, exposing us to exchange rate fluctuations that could affect our reported results.

5. Cybersecurity and Data Protection Risk (Category: Technology, Severity: Medium)

Our manufacturing execution systems and customer data are subject to cybersecurity threats. A successful attack could disrupt our operations,

damage our reputation, or compromise sensitive customer information.

6. Workplace Automation Regulation Risk (Category: Regulatory, Severity: Medium)

During fiscal 2024, several U.S. states enacted new legislation requiring human oversight protocols and safety certifications for autonomous robotic systems deployed in industrial workplaces. This is a new risk factor that was not present in our fiscal 2023 Annual Report and could increase our compliance costs and slow customer adoption of our products.

ITEM 7. MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

Overview

Fiscal 2024 was a year of continued growth for Solstice Robotics, with total revenue increasing approximately 12.5% year over year. However, the operating environment has become more uncertain. New tariffs on imported robotics components introduced during the year have increased cost pressures, and we believe it is prudent to be cautious about the pace of margin expansion going forward.

Results of Operations

Total revenue for fiscal 2024 was \$1,395.8 million, compared to \$1,240.5 million in fiscal 2023. Gross profit was \$711.9 million, representing a gross margin of approximately 51.0%. Operating income was \$223.3 million, representing an operating margin of approximately 16.0%. EBITDA for fiscal 2024 was \$307.1 million, representing an EBITDA margin of approximately 22.0%. Net income was \$167.5 million, representing a net margin of approximately 12.0%.

Liquidity and Capital Resources

Net cash provided by operating activities was \$261.0 million for fiscal 2024. Capital expenditures were \$110.5 million, resulting in free cash flow of \$150.5 million. Total debt outstanding at year end was \$400.0 million, and cash and cash equivalents were \$380.2 million.

Forward Guidance

For fiscal year 2025, we expect total revenue in the range of \$1,500 million to \$1,550 million, and diluted earnings per share in the range of \$2.55 to \$2.70. We caution that this guidance assumes no further escalation in tariff rates on imported components, and actual results could differ materially if trade policy conditions worsen.

ITEM 8. FINANCIAL STATEMENTS (SUMMARY)

Income Statement (USD millions)

Revenue: 1,395.8

Gross Profit: 711.9

Operating Income: 223.3

EBITDA: 307.1

Net Income: 167.5

Cash Flow Statement (USD millions)

Operating Cash Flow: 261.0

Capital Expenditures: 110.5

Free Cash Flow: 150.5

Balance Sheet (USD millions)

Total Debt: 400.0

Cash and Cash Equivalents: 380.2